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POLITICS OF EUROPEAN INTEGRATION: CLASSROOM EXERCISE

The Annual EU Budgetary Procedure

A 50-minute inter-institutional negotiation simulation of the Council and the European Parliament setting the annual EU budget.

Topic tags: EU budget · Council–Parliament relations · qualified majority voting · institutional power · status quo bias

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Abstract

This simulation puts students inside the annual EU budgetary procedure, where the Council and the European Parliament must agree how to allocate the Union's spending across four broad headings. Eight groups represent four member states in the Council and four political groups in the Parliament, each working from a position brief with defined priorities and red lines. A small organising team plays the Commission and chairs the two institutions. Across three timed rounds the Council forms a common position by qualified majority, the Parliament debates and amends it, and the Council decides whether to accept the amendments or let the budget fall back to the previous year's figures. The exercise is designed to make visible the institutional forces that shape real budget outcomes: weighted voting, the shadow of each institution's veto, the difference between private and public negotiation, and the powerful pull of the status quo.

Learning outcomes

By the end of this exercise students will be able to:

- Explain how the Council and the European Parliament interact in the annual budgetary procedure, and how their different voting rules shape their behaviour.
- Identify the institutional and political factors that drive budget negotiations, including weighted voting, coalition formation, veto power, path dependency and status quo bias.
- Evaluate critically the strengths and limits of the budgetary procedure as a mechanism for democratic and effective allocation of resources.

At a glance

Duration	45–50 minutes of simulation, plus 15–20 minutes debrief
Class size	25–40 students, plus a 2–4 person organising team
Room setup	One or two rooms; moveable seating (circular or horseshoe per institution); projector or digital whiteboard
Materials needed	Instruction manual (per group); budget proposal handout; eight position briefs; a projected slide with the outline and voting rules; a shared budget tracking spreadsheet (colour-coded); optional printed copies for each group
Instructor prep time	60–90 minutes (allocate groups, print or share briefs, set up the tracking spreadsheet)
Student prep time	20–30 minutes reading their brief and the budget proposal in advance

Pre-class preparation

For the instructor

- Divide the class into eight groups of roughly 3–5. Four groups sit in the Council as member states (Germany, Italy, Romania, Denmark); four sit in the Parliament as political groups (EPP, S&D, Renew, The Left). The organising team supplies three chairing roles: the Commission, the Council President, and the President of the Parliament.
- Distribute all briefing materials (this instruction manual, the budget proposal, and the relevant position brief) to each group at least a day before class. Each group should also receive at least one printout at the start of the session, so students without a device can take part.
- Set up the budget tracking spreadsheet (Appendix A) as a live, editable file the chairs can update on screen. Colour-code increases and decreases so changes are visible at a glance.
- Where possible, take students' personalities into account when allocating groups, to keep participation balanced. Consider seating any outlier group (here, The Left) centrally rather than at the edge, so it stays part of the debate.
- If students are not yet comfortable with the terminology, add a short glossary of headings, funds and acronyms (see the note in Appendix A).

For students

- Read your position brief and the budget proposal beforehand. Come ready to argue your assigned position, setting aside your own views and any outside knowledge about the state or party you represent.
- Identify, in advance, which of the four headings matter most to you, where you have flexibility, and which other groups might make natural allies.

Session plan

The simulation runs to 50 minutes. The scenario: facing continued global economic and humanitarian pressure, the Commission proposes to increase funding for "Neighbourhood and the World" by reallocating money away from "Single Market, Innovation and Digital" and "Cohesion, Resilience and Values".

Time	Phase	What happens
0:00–0:05	Introduction	The organising team explains the structure and aim. The Commission presents the budget proposal to both institutions.
0:05–0:10	Familiarisation	Groups read their materials and agree an opening line.
0:10–0:25	**Part I**	The Council debates *privately* and votes on a common position (qualified majority). In parallel, the Parliament's political groups prepare short public statements of their stance and present them to each other (1–2 minutes each). The Council President runs the Council vote and tracks changes; the President of the Parliament oversees the Parliament's statements.
0:25–0:40	**Part II**	The Parliament debates the Council's position *publicly*, moving from set statements into open bargaining, then votes to accept it or to propose amendments (absolute majority). The Council observes in silence and prepares to respond. The President of the Parliament chairs and records amendments.
0:40–0:50	**Part III**	The Council deliberates and votes to accept or reject the Parliament's amendments. If it accepts, the budget is adopted; if it rejects, the previous year's budget rolls over. The President of the Parliament presents the final outcome.

Each group (member state or political group) may propose **one** change during its institution's turn.

Voting rules

- **Council: qualified majority (simplified).** Weighted votes: Germany 3, Italy 3, Romania 2, Denmark 1. An amendment passes with 6 of 9 votes.
- **Parliament: absolute majority (simplified).** Vote shares: EPP 25%, S&D 20%, Renew 10%, The Left 6%. An amendment needs 50% + 1 to pass; groups not represented are treated as voting

against.

Debrief and reflection

Allow 15–20 minutes. The debrief is where the institutional lessons land, so do not let it be squeezed. Group the questions as follows.

For the Parliament group: surface public accountability and inter-institutional awareness.

- What institutional dynamics did you notice within the Parliament?
- Did you feel public pressure? Could you defend the budget you voted for to your constituents?
- Did the Council appear to care what you were debating? Did that shape your votes?

For the Council group: surface private bargaining and shifting positions.

- What institutional dynamics did you notice within the Council?
- Did the private nature of your debate change your bargaining strategy?
- Did you vote differently in the first and second rounds? Why?

For everyone: surface the cross-cutting institutional theory.

- What role did the shadow of the other institution's veto play?
- How well did the simulation capture the real roles of the Parliament and Council in the budget?
- How did you form your negotiating strategy, and why that way?
- Which budget line was hardest to negotiate, and why?
- What did the "revision point" (fallback to last year's budget) do to the incentives to agree?
- What would you do differently if the simulation ran again?

Close by explaining how far the procedure has been simplified (see Adaptation notes) and point students to the further reading in Appendix A.

Assessment suggestions

The exercise works well ungraded, but if assessment is wanted, keep it light:

- A short individual reflection (300–500 words) answering two or three of the debrief questions.
- A participation mark for staying in role and engaging in the negotiation.
- A brief group note explaining the amendment they proposed and the coalition logic behind it.

Adaptation notes

- **Scaling.** With fewer students, drop to three groups per institution and adjust the vote weights so a coalition of two can still carry a motion. With more, add member states and political groups (assign each a weight or vote share) rather than enlarging groups beyond five.
- **Difficulty.** To sharpen the conflict, exaggerate the briefs so positions overlap less, or let groups reallocate between specific programmes within a heading rather than between headings only.
- **Realism.** The real procedure resembles the ordinary legislative procedure, with trilogues and a conciliation committee where the Council rejects Parliament's amendments (Article 314 TFEU).

This simulation omits conciliation for time, but keeps the genuine fallback to the previous year's budget if none is agreed (Article 315 TFEU). Mention this in the debrief.

- **Online delivery.** Put each institution in its own breakout room, share the tracking spreadsheet on screen, and have chairs run votes by poll or show of hands on camera.
- **Different topic.** The same three-round structure works for any distributive negotiation with two chambers and a status quo fallback; only the proposal and briefs need swapping.

Appendix A: Instructor materials

A1. Budget proposal (student handout)

The 2026 draft budget comes amid continued global and economic turmoil. Recent years of shocks (a pandemic, an energy crisis, inflation and war) have pushed the EU to reprioritise towards urgent needs such as external aid, migration, and technology and defence investment, while sustaining green, digital and recovery goals. Figures are illustrative and simplified for the exercise.

#	Heading (key programmes)	Budget 2025	Draft 2026
1	**Single Market, Innovation and Digital**: Horizon Europe; Connecting Europe Facility	27.1	22.1
2	**Cohesion, Resilience and Values**: ERDF; Cohesion Fund; European Social Fund	71.7	68.7
3	**Natural Resources and Environment**: EAGF; EAFRD; EMFAF	57.0	57.0
4	**Neighbourhood and the World**: NDICI; Humanitarian Aid	5.1	14.1
	Total	**160.9**	**161.9**

Amounts in billions of euro. The Commission's proposal raises Heading 4 by reallocating from Headings 1 and 2.

A2. Budget tracking sheet (facilitator)

Recreate this as a live, colour-coded spreadsheet. Chairs fill the "Council position" and "Parliament position" columns as amendments pass, highlighting increases and decreases.

#	Heading	2025	Draft 2026	Council change	Council position	EP change	EP position
1	Single Market, Innovation and Digital	27.1	22.1				
2	Cohesion, Resilience and Values	71.7	68.7				
3	Natural Resources and Environment	57.0	57.0				
4	Neighbourhood and the World	5.1	14.1				
	Total	**160.9**	**161.9**				

A3. Suggested glossary (optional)

Provide brief plain-language definitions of at least: the four headings; NDICI (the Neighbourhood, Development and International Cooperation Instrument); EAGF and EAFRD (the two agricultural funds); EMFAF (the fisheries fund); ERDF and the Cohesion Fund. Students negotiate more confidently when they know where the money actually goes.

A4. Further reading

- Lenaerts, K., Van Nuffel, P. and Corthaut, T. (2021) ‘The Budgetary Procedures’, in *EU Constitutional Law*. Oxford University Press, pp. 594–603. A straightforward overview of the procedure in law.
- Citi, M. (2015) ‘European Union budget politics: Explaining stability and change in spending allocations’, *European Union Politics*, 16(2), pp. 260–280. On the drivers of allocation in the Council.
- Crombez, C. and Høyland, B. (2015) ‘The budgetary procedure in the European Union and the implications of the Treaty of Lisbon’, *European Union Politics*, 16(1), pp. 67–89. A game-theoretical analysis of inter-institutional dynamics.
- Lundgren, M., Tallberg, J. and Pedersen, C. (2022) ‘Member State Influence in the Negotiations on the NDICI’. SSRN working paper. On member-state behaviour in the NDICI negotiations.

Appendix B: Position briefs

Each brief gives a group its priorities and red lines. Priority levels (Essential, Important, Moderate) signal how hard to fight; positions may be exaggerated for the exercise.

COUNCIL · MEMBER STATE

Germany

Germany supports a budget that fosters competitiveness, digital transformation, sustainability and fiscal responsibility. Headline priorities: robust investment in innovation, research and climate action; strong support for the Single Market and the green transition; disciplined, rule-of-law-linked spending.

- **Heading 1: Single Market, Innovation and Digital.** *Important*. Protect digital and research funding; oppose cuts that threaten innovation. Moderate reallocation acceptable if it strengthens climate and industrial resilience.
- **Heading 2: Cohesion, Resilience and Values.** *Essential (top priority)*. Cohesion spending should be tied to good governance; secure funding for structurally weaker regions.
- **Heading 3: Natural Resources and Environment.** *Important*. Backs the Green Deal; reform and gradual reduction acceptable only if redirected to sustainable practice. Very limited flexibility to cut.
- **Heading 4: Neighbourhood and the World.** *Moderate*. Ensure sufficient funding for Ukraine; hesitant about wider humanitarian commitments.

COUNCIL · MEMBER STATE

Italy

Italy supports a budget that promotes growth, regional cohesion and social stability. Headline priorities: strong cohesion and recovery funding for southern regions; maintained agricultural support; adequate resources for migration and Mediterranean neighbourhood stability.

- **Heading 1: Single Market, Innovation and Digital.** *Moderate*. Avoid significant cuts to innovation or infrastructure; minor savings possible if cohesion and external priorities are safe.
- **Heading 2: Cohesion, Resilience and Values.** *Essential (top priority)*. Maintain or increase; opposes any reduction below the 2025 level.
- **Heading 3: Natural Resources and Environment.** *Important*. Preserve current agricultural allocations; very limited flexibility.
- **Heading 4: Neighbourhood and the World.** *Essential*. Strongly supports the increase, especially for the Southern Neighbourhood and addressing the root causes of migration. Wants the highest achievable level.

COUNCIL · MEMBER STATE

Romania

Romania backs a balanced budget promoting convergence, competitiveness and resilience. Headline priorities: safeguard Cohesion Policy and the agricultural funds; support innovation linked to convergence; strengthen the EU's eastern external dimension.

- **Heading 1: Single Market, Innovation and Digital.** *Important*. Wants funds to help SMEs join cross-border value chains and boost connectivity. Would increase this heading.
- **Heading 2: Cohesion, Resilience and Values.** *Essential (top priority)*. Vital for reducing disparities; maintain or increase, with simpler, fairer implementation.
- **Heading 3: Natural Resources and Environment.** *Moderate*. Backs a just transition tailored to each member state; maintain or moderately increase.
- **Heading 4: Neighbourhood and the World.** *Essential*. As a frontier state, sees a strong Neighbourhood budget as vital for regional stability (Ukraine, Moldova, Black Sea). Maintain or moderately increase.

COUNCIL · MEMBER STATE

Denmark

Denmark supports a transparent, fiscally responsible budget with high-quality investment and little waste. Headline priorities: a moderate, results-driven budget; green innovation, research and digitalisation; a stronger external and security role.

- **Heading 1: Single Market, Innovation and Digital.** *Essential (top priority)*. Prioritise innovation, digital transformation and research while minimising administrative cost. Would increase.
- **Heading 2: Cohesion, Resilience and Values.** *Moderate*. Supports cohesion but stresses reform and measurable results; will not increase this line and is open to shifting funds elsewhere.
- **Heading 3: Natural Resources and Environment.** *Important*. Favours cost-effective climate policy over income support; wants to retain funds for the agricultural and fisheries funds.
- **Heading 4: Neighbourhood and the World.** *Important*. Backs a values-based external budget (Ukraine, Eastern Neighbourhood); maintain or slightly increase, with accountability.

PARLIAMENT · POLITICAL GROUP

European People’s Party (EPP)

The EPP wants a responsible, future-proof budget built on competitiveness, cohesion and unity. Headline priorities: keep Cohesion and Agriculture as core pillars; promote the green and digital transitions through innovation; ensure disciplined, transparent spending.

- **Heading 1: Single Market, Innovation and Digital.** *Important*. Increase funding for research, innovation and digital transformation; help SMEs scale across borders.
- **Heading 2: Cohesion, Resilience and Values.** *Essential*. Maintain or modestly increase on 2025 levels, tied to performance and reform.
- **Heading 3: Natural Resources and Environment.** *Important*. Keep agriculture well funded for food security; will allow minimal cuts.
- **Heading 4: Neighbourhood and the World.** *Essential*. Increase for Ukraine and defence cooperation; maintain development and neighbourhood assistance.

PARLIAMENT · POLITICAL GROUP

Progressive Alliance of Socialists and Democrats (S&D)

S&D wants a balanced, forward-looking budget that strengthens the social dimension, delivers the Green Deal and ensures fairness across regions. It supports responsible finance but rejects austerity that limits climate or social ambition.

- **Heading 1: Single Market, Innovation and Digital.** *Important*. Maintain or moderately increase, provided spending drives quality jobs and inclusion; minor cuts only if social and green priorities are protected.
- **Heading 2: Cohesion, Resilience and Values.** *Essential*. Increase or maintain; no willingness to cut. Central to a fair Europe.
- **Heading 3: Natural Resources and Environment.** *Moderate*. Backs the Green Deal and sustainable agriculture; maintain 2025 levels.
- **Heading 4: Neighbourhood and the World.** *Important*. Values humanitarian aid and human rights; maintain or increase, cutting only to preserve social and green priorities.

PARLIAMENT · POLITICAL GROUP

Renew Europe

Renew wants a competitive, forward-looking budget focused on innovation, sustainable growth and a stronger single market, with efficient, responsible spending. Headline priorities: more for innovation and competitiveness; reform- and performance-based cohesion; market-based climate solutions.

- **Heading 1: Single Market, Innovation and Digital.** *Essential (top priority)*. Increase for R&D, market integration and digital transformation; the key to competitiveness.
- **Heading 2: Cohesion, Resilience and Values.** *Important*. Broadly maintain 2025 funding, stressing efficiency and results.
- **Heading 3: Natural Resources and Environment.** *Important*. Maintain or moderately increase for climate and energy transition through innovation.
- **Heading 4: Neighbourhood and the World.** *Moderate*. Maintain 2025 levels, but willing to compromise if Heading 1 rises.

PARLIAMENT · POLITICAL GROUP

The Left

The Left wants a budget built on social justice, ecological sustainability and solidarity, and opposes corporate- or defence-driven priorities. Headline priorities: big increases for social protection and cohesion; investment in public services, housing and climate justice; opposition to more military and border spending.

- **Heading 1: Single Market, Innovation and Digital.** *Moderate.* Supports digital transformation only where it benefits working people; minor adjustments possible with progressive conditions.
- **Heading 2: Cohesion, Resilience and Values.** *Essential (top priority).* Expand cohesion and the European Social Fund; trade-offs only where they do not cut social or cohesion funding.
- **Heading 3: Natural Resources and Environment.** *Important.* Wants large-scale investment in climate justice and sustainable agriculture; opposes transfers from green funding to defence. Minimal flexibility on cuts.
- **Heading 4: Neighbourhood and the World.** *Essential.* Rejects heightened border enforcement and externalised migration policy; spending should focus on inequality, peace and solidarity with the global South. Flexible on geography if overall solidarity spending holds.